23.06 Wholesaler

Wholesale Trade means buying and selling goods in relatively large quantities or in bulk. The traders who are engaged in wholesale trade are called wholesalers.



A wholesaler buys goods in bulk directly from manufacturers and sells them in small lots to customers or industrial users. A wholesaler is the first intermediary and serves as a link between producers and retailers. Wholesalers place large orders with producers and supply in small quantities to retailers. In this way wholesaler serve both manufacturers and retailers.

Definition

According to Cundiff and still "*wholesaler buys from the producer and sell merchandise to the retailers and other merchants and not to the consumers*".

According to Evelyn Thomas "*a true wholesaler is himself neither a manufacturer nor a retailer but act as a link between the two*".

23.07 The Characteristics of Wholesalers

The following are the characteristics of wholesalers;

1. Wholesalers buy goods directly from producers or manufacturers,
2. Wholesalers buy goods in large quantities and sell in relatively smaller quantities,
3. Wholesalers sell different varieties of a particular variety of product,
4. They employ a number of agents or workers for distribution of products
5. They need large amount of capital to be invested in his business,
6. They generally provide credit facility to retailers,
7. They also provide financial assistance to the producers or manufacturers,
8. In a city or town, they are normally located in one particular area of the market.

Types of Wholesalers

1. Manufacturer wholesaler

Manufacturer wholesaler undertakes manufacturing of goods in addition to wholesale business. He sells not only the goods manufactured by him on wholesale business, but also goods manufactured by other producers.

2. Retail Wholesaler

This type of wholesaler carries on both wholesale and retail trade. He purchases goods in bulk from manufacturers and sells them directly to consumers through his own retail outlets.

Ex. *Super Bazaar.*

3. Merchant Wholesaler.

A merchant wholesaler neither manufactures goods nor sells them directly consumers. He is the 'wholesaler proper' or 'pure wholesaler'. He buys goods in bulk

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